

STABLECOINS ORDINANCE

Explanatory Note on Transitional Provisions for Pre-existing Stablecoin Issuers

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1. Introduction

- 1.1. The Stablecoins Ordinance (Cap. 656) (“SO”) has come into effect on 1 August 2025. Under section 8(1) of the SO, a person must not carry on a regulated stablecoin activity (“RSA”) or hold itself out as carrying on an RSA unless the person has a licence or is exempted under section 13(1)(a) of the SO. Contravention of section 8(1) is an offence. Under section 5 of the SO, a person carries out an RSA if the person:
 - (i) Issues a specified stablecoin in Hong Kong in the course of business;
 - (ii) Issues a specified stablecoin in a place outside Hong Kong in the course of business, and the specified stablecoin purports to maintain a stable value with reference (whether wholly or partly) to Hong Kong dollars;
or
 - (iii) Carries on an activity specified under section 5(4) of the SO.
- 1.2. For the avoidance of doubt, a person will be regarded as holding itself as carrying on an RSA if it actively markets, whether in Hong Kong or elsewhere, to the public that it carries on, or purports to carry on, an activity and the activity, if carried on in Hong Kong, would constitute an RSA.
- 1.3. With a view to providing entities carrying on RSA prior to the commencement of the SO with a reasonable arrangement and time to either apply for a licence or to close down in an orderly manner, the SO provides transitional arrangements. Schedule 7 to the SO sets out the transitional provisions. This Explanatory Note on Transitional Provisions for Pre-existing Issuers (“Note”) provides further details on the such arrangements.
- 1.4. This Note should be read in conjunction with the SO as well as other guidance issued by the HKMA from time to time. Terms that are defined in the SO have their defined meaning when used in this Note. Unless otherwise specified, terms in this Note in the singular include the plural and terms in this Note in the plural include the singular.

2. Application of the transitional provisions

- 2.1. The transitional provisions apply to entities that have carried on an RSA in Hong Kong before 1 August 2025 (“Pre-existing Issuers”).
- 2.2. When considering whether an entity has carried on an RSA of issuing specified stablecoins in Hong Kong before 1 August 2025, the MA will take into account factors set out in paragraph 2 of the Explanatory Note on Licensing of Stablecoin Issuers, as well as other relevant considerations such as the extent, materiality and substantiality of its operations prior to 1 August 2025.
- 2.3. For the avoidance of doubt, the mere setting up of a company in Hong Kong or having “shell” operations in Hong Kong before 1 August 2025 will not suffice for the purposes of being regarded as a Pre-existing Issuer.

3. Transitional provisions for the first three months

- 3.1. Pre-existing Issuers should familiarise themselves with the SO, this Note and the relevant guidelines issued by the Monetary Authority (“MA”).
- 3.2. The procedures of application from Pre-existing Issuers are in line with that for applicants that are not Pre-existing Issuers. A Pre-existing Issuer that is interested in applying for a licence to carry on a regulated stablecoin activity is encouraged to indicate its interest to the Hong Kong Monetary Authority’s Stablecoin Licensing Team (“Licensing Team”). This will facilitate initial, informal discussion to enable the Licensing Team to understand more about the person’s background and business model and to ensure the person is fully aware of the licensing procedures and the MA’s expectations on the minimum criteria.
- 3.3. Pursuant to section 2 of Schedule 7 to the SO, a Pre-existing Issuer who wishes to apply for a licence should, within the first three months after the commencement of the SO (i.e. by 31 October 2025):
 - (i) Submit a licence application to carry on an RSA; and
 - (ii) Provide to the MA:
 - a. A written declaration that the entity has carried on the RSA in Hong Kong before the commencement date (i.e. 1 August 2025); and
 - b. A written undertaking that the entity will, on being granted a provisional licence, (i) comply with the regulatory requirements applicable to the entity as if it were a licensee; and (ii) have arrangements in place to ensure that the entity will comply with those requirements.
- 3.4. It is reminded that if any of the information or document above is not provided, the Pre-existing Issuer may not be considered to have completed the steps in paragraph 3.3. A Pre-existing Issuer that has submitted a licence application, provided to the MA the documents referred to in paragraph 3.3 above and received from the MA an acknowledgement of receipt of the application (“Pre-existing Issuer with Application Submitted and Acknowledged”) may¹ carry on the relevant RSA during the first 6 months, i.e. until 31 January 2026, provided it does not enter the closing down period (see paragraph 4).
- 3.5. Pre-existing Issuers who do not apply for a licence or have not completed the steps in paragraph 3.3 by 31 October 2025 will enter into the closing down period on 1 November 2025 (see paragraph 5).

¹ See section 2(2) of Schedule 7 to the SO.

4. Transitional provisions for the first six months

- 4.1. Section 8 of the SO does not prohibit² a Pre-existing Issuer with Application Submitted and Acknowledged from carrying on, or holding itself out as carrying on, an RSA during the first 6 months (i.e. until 31 January 2026), as long as it has not entered the closing down period (see paragraph 5).
- 4.2. Provisional licence: If the MA is satisfied that the Pre-existing Issuer with Application Submitted and Acknowledged (i) has carried on an RSA in Hong Kong before 1 August 2025, and (ii) has a reasonable prospect of successfully showing that it is capable of complying with the regulatory requirements applicable to a licensee, the MA may grant it a provisional licence pursuant to section 3(2) of Schedule 7 to the SO before 1 February 2026. An entity granted a provisional licence is taken to be granted a licence under section 15 of the SO, until the provisional licence ceases to be in force³. In assessing whether the Pre-existing Issuer has a reasonable prospect of successfully showing the MA that it is capable of complying with the regulatory requirements applicable to a licensee, the MA will take into account the information provided in the licence application and any further information obtained from the applicant in relation to the licence application pursuant to section 14(3) of the SO.
- 4.3. Rejection notice: If the MA is not satisfied as to the matters referred to in paragraph 4.2, the MA may give the Pre-existing Issuer with Application Submitted and Acknowledged a rejection notice pursuant to section 4(2) of Schedule 7 to the SO. Such entity will enter into the closing down period on the day the notice is given, and will be subject to the arrangements in paragraph 5⁴. A rejection notice may be given even if the MA has previously granted a provisional licence to the entity⁵. Any provisional licence granted prior to a rejection notice will cease to be in force.
- 4.4. Licence: If the MA grants a licence to the Pre-existing Issuer with Application Submitted and Acknowledged pursuant to section 15(1)(a) of the SO (the determination of a licence application by an entity holding a provisional licence could be after 31 January 2026), its provisional licence ceases to be in force. As a licensee, it must continue to comply with the relevant applicable regulatory requirements.

² See section 2(2) of Schedule 7 to the SO.

³ See section 2(4) of Schedule 7 to the SO.

⁴ Pursuant to section 5(2) of Schedule 7 to the SO, the entity may object to the decision within the objection period. If the entity does not do so, the licence application is taken to have been withdrawn on the expiry of the objection period. If the entity objects to the decision within the objection period, the MA must determine the licence application in accordance with section 15 of the SO. Regardless of whether the entity objects to the decision, the entity will enter into the closing down period.

⁵ For example, the MA may give a rejection notice to entities which operate beyond 31 January 2026 under a provisional licence.

- 4.5. Refusal to grant a licence: If the application is refused pursuant to section 15(1)(b) of the SO, the Pre-existing Issuer with Application Submitted and Acknowledged will enter into the closing down period on the day of refusal and will be subject to the arrangements in paragraph 5. Any provisional licence granted prior to this will cease to be in force.
- 4.6. Withdrawal: Pre-existing Issuer with Application Submitted and Acknowledged may withdraw the application anytime during the application process. In such case, the entity will enter into the closing down period on the day of withdrawal. Any provisional licence granted prior to the withdrawal will cease to be in force.

5. Closing down period

- 5.1. The closing down period applies to the following entities:
- (i) A Pre-existing Issuer that has not applied for a licence or not provided to the MA the documents mentioned in paragraph 3.3(ii) above by 31 October 2025;
 - (ii) A Pre-existing Issuer with Application Submitted and Acknowledged that has been given a rejection notice pursuant to section 4(2) of Schedule 7 to the SO;
 - (iii) A Pre-existing Issuer with Application Submitted and Acknowledged whose licence application has been refused pursuant to section 15(4) of the SO; or
 - (iv) A Pre-existing Issuer with Application Submitted and Acknowledged whose application has been withdrawn.
- 5.2. Entities falling under category (i) will enter into the closing down period on 1 November 2025. Entities falling under the categories (ii) to (iv) will enter into the closing down period on the day on which the rejection notice or the notice of the decision to refuse is given, or the application is withdrawn (as the case may be).
- 5.3. Unless an extension has been granted pursuant to section 9(3) of Schedule 7 to the SO, the closing down period will end on the expiry of 1 month beginning on the start day as set out in paragraph 5.2. The entity concerned may apply to the MA in writing for an extension before the end of the closing down period. The MA may (re-)extend the closing down period, having regard to the circumstances of the entity's business and activities; and the interests of the holders or potential holders of specified stablecoin issued by the entity.
- 5.4. During the closing down period, section 8(1) of the SO does not prohibit⁶ the entity concerned from carrying on, or holding itself out as carrying on, an RSA if the entity does so solely for the purpose of closing down the business that is connected with the RSA. In any other circumstance, an entity that carries on an RSA, or holds itself out as carrying on an RSA, during the closing down period will contravene section 8(1) of the SO and commit an offence. When assessing whether closing down is the sole purpose of the carrying on, or holding itself out as carrying on, of an RSA by the entity concerned, the MA will take into account factors including but not limited to:

⁶ See section 10 of Schedule 7 to the SO.

- (i) The extent to which the business that is connected with the RSA is maintained during the closing down period (e.g. whether the entity has ceased issuing additional units of specified stablecoin);
- (ii) The entity's divestment of its assets or resources that could indicate an orderly closing down of the business that is connected with the RSA in Hong Kong;
- (iii) The change of par value of outstanding specified stablecoins in circulation, and utilisation of specified stablecoin for transactions by independent holders in Hong Kong;
- (iv) The entity's plan for closing down its business that is connected with the RSA (e.g. whether the entity has a reasonable and feasible plan to close down such business within the closing down period);
- (v) The alignment of the entity's actions with the plan; and
- (vi) The public announcements by the entity and/or communications it made with the specified stablecoin holders and the relevant stakeholders.

5.5. Pursuant to section 11(1) of Schedule 7 to the SO, the MA may, by written notice, impose on an entity that has entered into the closing down period one or more of the following requirements:

- (i) To require the entity to carry on the RSA in a specified manner during the closing down period;
- (ii) To require the entity not to carry on the RSA in a specified manner during the closing down period;
- (iii) To require the entity to deal with, or refrain from dealing with, any assets (whether in Hong Kong or elsewhere and whether or not they are the entity's assets) in a specified manner during the closing down period; and
- (iv) To require the entity to maintain assets in Hong Kong or a particular place outside Hong Kong during the closing down period so that the assets:
 - a. Are of a value or class or description that may ensure the entity will be able to meet its liabilities in respect of its business that is connected with the RSA; and
 - b. Are maintained in a manner that will enable the entity at any time to freely transfer or otherwise dispose of them.

- 5.6. For the purpose of items (i) and (ii) of paragraph 5.5, the MA may require the entity to: (i) carry out an orderly redemption of the specified stablecoins it issued; (ii) notify the public or holders of the specified stablecoins it issues of the closing down period; (iii) cease issuing additional units of specified stablecoins; (iv) ensure the market value of reserve assets for the specified stablecoins it issues is at all times during the closing down period at least equal to the par value of the outstanding specified stablecoins in circulation; and (v) maintain certain amount of liquid net assets for the purpose of covering operating, administrative, legal and any other costs during the closing down period. Under section 11(3) of the Schedule 7 to the SO, an entity who contravenes a requirement imposed on it commits an offence.
- 5.7. An entity that continues to carry on, or hold itself out as carrying on, an RSA beyond the closing down period applicable to it will contravene section 8(1) of the SO and commit an offence.